



Results (standalone) were in-line with estimates on topline however higher Ad-Sepnds impacted bottom-line

- Revenue (standalone) grew by 17% YoY to Rs 33589mn aided by 19% growth in lifestyle business. Revenue on a QoQ basis was up by 14%.
- EBIDTA margins stood at 13.4% as against 19.3% YoY and 15% QoQ mainly impacted by 2.3x spends on marketing.
- Gross Margins were stable @ 53.36% as against 53.75% YoY and 54% QoQ on account higher share of premium-products
- EBIDTA for all business i.e Lifestyle, Others including athleisure and innerwear and Pantaloon was impacted due to higher (2.3x) spends in marketing on life-style and newer businesses. EBIDTA dropped by 19% YoY to Rs 4510mn.
- PBT for Q3FY23 dropped by 71% to Rs 729mn on account of 19% drop in EBIDTA and normalized rentals coming back which led to higher depreciation and interest cost.
- Adjusted PAT stood at Rs 569mn down 70% YoY and 29% QoQ.

Outlook:

- Lifestyle business momentum strong (as premium segment outperform) || Pantaloon business to remain challenging (as value segment slows down post festive due to inflationary headwinds)
- Ad Spends to see some reduction going forward as lot of one-off's bunched up in one -quarter: ~2.3 times increase in marketing (for existing strong business) and strategic investments in new ventures (Tasva & Inner Wear business) hit margins, last year Q3FY22 also had rental savings of Rs 550mn.**
- Rs 1250mn additional spends in advertisement were done.

Financial Summary

Y/E Mar (Rs)	FY21*	FY22*	FY23E*	FY24E*	FY25E*
Net sales	51,811	78,242	117,017	133,765	152,058
EBIDTA	5,943.3	10,794.8	16,487.3	19,481.0	22,070.0
EPS (Rs) (pc)	(7)	(1)	2	3	5
growth (%)	351	(88)	(344)	62	68
P/E (x)	(35)	(291)	120	79	47
P/B (x)	9	8	7	5	4
EV/EBITDA	44	25	17	15	13
D/E	0.4	0.4	0.5	0.1	0.1
RoCE (%)	(7)	6	13	13	17
RoE (%)	(24)	(3)	6	6	9

*- Post IND-AS 116

Source: Dalal & Broacha Research, Company

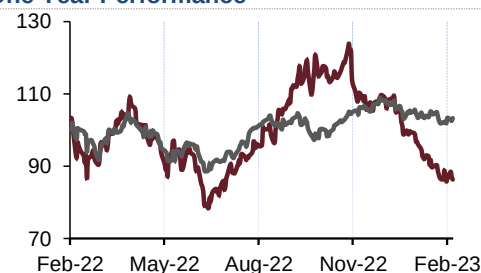
Rating	TP (Rs)	Up/Dn (%)
BUY	329	32

Market data

Current price	Rs	250
Market Cap (Rs.Bn)	(Rs Bn)	237
Market Cap (US\$ Mn)	(US\$ Mn)	2,863
Face Value	Rs	10
52 Weeks High/Low	Rs	359 / 221
Average Daily Volume	('000)	5,707
BSE Code		535755
Bloomberg		ABFRL.IN

Source: Bloomberg

One Year Performance



— Aditya Birla Fashion and Retail Ltd
— Nifty Index

Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	55.47	56.08
Public	43.98	43.40
Total	100	100

Source: BSE

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- Normalized Ad-Spends 3.5% to 4% in Lifestyle business, 1.5% to 2% in Pantaloon. Additional 200-250 bps higher ad-spends in Lifestyle business is expected to come down in Q4
- Some fixed cost which had reduced in covid times have come back.
- Wedding season to support Ethnic business in Q4FY23
- New ventures like Tasva and TMRW will take atleast 2 years to generate profitability.
- Net Debt @ Rs 3400mn || spent Rs 1200mn towards Tasva additional Rs 3500mn to Rs 4000mn to be spent in coming quarters.
- D2C TMRW Q3FY23 loss stood at Rs 190mn due to overhead costs, expected to go-up further than rationalize. These business have huge scalability.
- Reebok Sales Rs 340mn || EBIDTA loss Rs 130mn (due to inventory transfer) || Already breaking even on Pre-EBIDTA levels || turn-around time 9-12 months post that target to reach double-digit EBIDTA margins.

Segments & Concal KTA's

Particulars Rs Mns	Q3FY23	Q3FY22	YoY	Q2FY23	QoQ
A. Madhura Segment Total	22,360	18,760	19%	19,870	13%
1. Madhura LifeStyle	18,730	15,890	18%	16,800	11%
2. Other Madhura which includes innerwear and Reebok	3,630	2,870	26%	3,070	18%
B. Pantaloon	11,590	10,660	9%	10,940	6%
Less Eliminations:	(360)	(690)		(1,280)	
Total	33,590	28,730	16.92%	29,530	14%
EBIDTA Margins					
A. Madhura Segment Total	13.1%	19.4%		14.7%	
1. Madhura LifeStyle	16.9%	21.8%		17.0%	
2. Other Madhura which includes innerwear & Reebok	-6.3%	6.3%		2.0%	
B. Pantaloon	14.5%	20.3%		16.1%	
Madhura LifeStyle Mix					
Wholesale	3,740	3,740	0%	4,620	-19%
Retail	10,120	8,340	21%	7,340	38%
Others	4,870	3,810	28%	4,850	0%

Source: Dalal & Broacha Research, Company

A. TOTAL MADHURA SEGMENT

1. Madhura Lifestyle Brands KTA's

- LTL @ 5% in Retail business
- Occasion and work wear performed relatively well.
- Premium and luxury segment outperform (i.e. Lifestyle core business)
- Women's wear business +26% YoY
- Ecom +19% YoY. Brand.com +45% YoY
- Marketing Spends 3x YoY
- Stores @2601 (+113 YoY)
- Network of small-town format within Lifestyle brands is now 550+stores strong

2. Other Madhura business which includes innerwear

- Active Athleisure wear and Inner-Wear (total) growth @ 10% YoY
 - Inner-Wear +21% YoY || Athleisure impacted after 2 years
 - Innerwear Outlets @ 31000 (+ 2000 QoQ) +48 EBO's total @ 159
 - 1st ever Nationwide television and digital advertising campaign launched impacted margins
 - E-Comm +60% YoY
- **Reebok transitioned** into ABFRL w.e.f. 01st October 2022 (part of other business now || new brand ambassadors- Taapsee Pannu and Surya Kumar Yadav||
- **American Eagle** grew by 46% YoY and LTL 24%|| 5 stores added || total 31 EBO's and 42 DS
- **Forever-21** grew by 15% YoY || 5 (net)stores added || E-Com +40% YoY
- **"TheCollective" and other super-premium brands** revenue growth of 43% YoY || LTL growth of 24% || Accessories +50% YoY || E-Comm Revenue 2x

B. PANTALOON

- Value segment i.e. Pantaloon face headwinds due to inflation || Tier-2 and below witness slowdown post festive
- Higher mark-downs in Nov and Dec-22
- Stores 406||+45 YoY in Q3FY23, target +70 to 80 in FY23 (20% franchise & 80% own)
- Value Fashion witnessed slowdown due to inflationary pressure
LTL 1.2% (SSS over FY20 is -ve 9%)
- Q3FY23 growth of 9% YoY is on account of shift of Pujo to Q2 during this year
- Own Brands: MFL: Others 61:10:29 v/s 62:9:29 YoY

C. Ethnic Subsidiaries : Revenue @ Rs 1890mn v/s 1140mn +66% YoY || EBIDTA Rs 80mn v/s Rs 310mn YoY

- 15 new stores added
- JAYPORE: Revenue +80% YoY expanded to 15 stores
- Shantanu & Nikhil: Sales +43% YoY with highest ever sales || 15 stores || extended brand in to sports
- Sabyasachi: Revenue +23% (Rs1 bn+ Sales) || Launched New York store in October
- TASVA: opened 11 stores in Q3FY23 (32 in total) *plan to end FY23 @ 60 stores* || Launched its first national TV & Digital campaign || initially will have more COCO stores

D. MASABA

- Revenue +66% YoY || LTL +61% || added new categories such as fragrances
- Had acquired 51% stake in 'House of Masaba Lifestyle Private Limited' to get entry into branded beauty and personal care segment @ Rs 900mn (this includes secondary and primary infusion) for 51%
- aim to clock Rs 5bn revenues

E. D2C brands subsidiary in the making

- TMRW announced strategic partnership with eight digital first brands: Six brands already integrated into the portfolio

F. Digital and Omnichannel

- E-commerce sales grew 33% YoY
- Omni-channel coverage is now across 2350+ stores

Important Key Takeaways from previous Concalls

- **Fund Raise details**
 - Amount Rs 2195crs from GIC Singapore (via Caladium Investment Pte. Ltd)
 - Stake post complete infusion 7.5%
 - Approximate time line a) Rs 764 crs by H1FY23 for 1.02crs shares @ Rs 288.75 each (= 295crs) + 25% upfront payment for 6.5crs warrants @ Rs 288.75 each (= Rs 469crs)
 - b) Balance 75% i.e. Rs 1425crs payment for 6.5crs warrants @ Rs 288.75 each to be paid in the next 18 months.
- **Fund Utilization Details**
 - Amount would be mainly utilised for under-invested business for which expansion plans were held back due to Covid
 - a) Pantaloons where-in 70-75% are own stores
 - b) Renovation of Pantaloon stores
 - c) Investments in warehouse, supply chain and manufacturing (for Lifestyle business)
 - d) Network expansion of Ethnic brands
- **Store Opening targets for FY23**
 - Lifestyle brands ~ 300-400
 - Pantaloons ~70-80 stores (Investment ~ 150crs)
 - Ethnic Brand TASVA target to open ~50 stores
 - Jaypore ~ 15-20 stores
 - Sabyasachi to be expand international footprint
- Strategic foray into D2C business with a long-term vision of building a portfolio of digital first brands

Quarterly Performance Analysis (standalone)

Particulars Rs Mns (Standalone)	Q3FY23	Q3FY22	YOY	Q2FY23	QoQ
Revenue from Operations	33,589	28,728	16.9%	29,528	13.75%
Other Income	271	229	18.32%	214	26.39%
Total Income	33,859	28,957		29,742	
COGS	15,666	13,288	17.90%	13,592	15.26%
% of sales	46.64%	46.25%		46.03%	
Employee Benefit Expense	3,642	2,881	26.40%	3,284	10.89%
% of sales	10.84%	10.03%		11.12%	
Other Expenses	7,085	4,991	41.95%	6,218	13.94%
% of sales	21.09%	17.37%		21.06%	
Rent	2,686	2,014		1,998	34.41%
% of sales	8.00%	7.01%		6.77%	
Total expenses	29,079	23,174	25.48%	25,093	15.88%
% of sales	86.57%	80.67%		84.98%	
EBITDA excluding other income	4,510	5,553	-18.79%	4,435	1.69%
EBITDA MARGINS	13.43%	19.33%		15.02%	
EBITDA including other income	4,780	5,782	-17.33%	4,649	2.83%
EBITDA Margins	14.12%	19.97%		15.63%	
Depreciation	2,875	2,378	20.91%	2,654	8.35%
EBIT	1,905	3,404		1,995	
Finance costs	1,176	855	37.60%	944	24.58%
Exceptional items					
PBT reported	729	2,550	-71.40%	1,051	-30.64%
Tax Expense	160	642		250	
Tax Rate	22%	25%		24%	
Adjusted PAT	569	1,908	-70.17%	801	-28.99%
NPM	1.68%	6.59%		2.69%	
Equity	9487	9380		9487	
Face Value	10	10		10	
Number of Shares	949	938		949	
Basic EPS Calculated	0.60	2.03		0.84	

Source: Dalal & Broacha Research, Company

Valuation & Outlook

Particulars (Rs. Bn)	FY25
Lifestyle Business	
Sales	81172
EBITDA	14043
Margins	17.3%
EV/EBITDA (x)	15
EV	210642
Pantaloons	
Sales	52106
EBITDA	8597
Margins	16.5%
EV/EBITDA (x)	14
EV	120364
Other Business	
Sales	18780
EV/Sales (x)	1
EV	18780
Ethnic wear	
Sales	11864
EV/Sales (x)	1
EV	11864
Total EV	
Total EV	361650
Debt + Lease Liability	37906
Cash	10436
Equity Value	334179
No of shares (fully diluted)	1014
Per share	329
CMP	250
Upside (%)	32%

Valuation:

We have reworked our numbers and rolled over to FY25e. We have also assumed dilution on account of the money infusion by GIC Singapore.

The expansion phase for the company's existing and new business is expected to pick-up pace and delivery would be key to watch.

With the recent funding from GIC Singapore the company's has enough Balance Sheet strength along with its existing cash-flows to fund organic as well as in-organic expansions.

We value ABFRL on SOTP basis assigning EV/EBIDTA of 15x to Lifestyle brands 14x to Pantaloons and 1x Sales to Other Business and Ethnic Wear business to arrive at **a target price of Rs 329** i.e. an upside of 32% in the next 12-18 months. We maintain our recommendation **Buy from long-term perspective**.

Financial

P&L (Rs mn) Standalone	FY21	FY22	FY23E	FY24E	FY25E	Cash Flow St. (Rs. mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Sales	51,811.4	78,242.0	117,017.1	133,765.3	152,057.8	Net Profit	(6,496.2)	(807.1)	1,970.1	3,193.8	5,361.6
						Add: Dep. & Amort.	9,450.0	9,468.5	10,921.0	12,628.3	12,748.4
						Minority Interest	-	-	-	-	-
Cost of sales	45,868.1	67,447.2	100,529.8	114,284.4	129,987.9	Cash profits	2,953.8	8,661.4	12,891.1	15,822.2	18,110.0
						(Inc)/Dec in					
Operating Profit	5,943.3	10,794.8	16,487.3	19,481.0	22,070.0	-Sundry debtors	2,402.9	(1,545.0)	(3,738.6)	(1,614.8)	(1,763.7)
Depreciation	9,450.0	9,468.5	10,921.0	12,628.3	12,748.4	-Inventories	6,064.7	(9,863.0)	(13,525.5)	(5,842.1)	(6,380.8)
PBIT	(3,506.7)	1,326.3	5,566.3	6,852.6	9,321.6	-Loans/advances	14.7	(13.9)	(556.1)	(36.8)	(39.0)
Other income	726.4	940.9	1,066.4	1,021.8	1,470.0	'-Current Liab and Provisions	(3,208.2)	14,439.2	11,880.8	7,276.5	8,150.8
Interest	4,983.9	3,401.9	3,856.6	3,604.6	3,623.6	'- Other Assets	(1,808.8)	(1,849.3)	(2,256.8)	(1,358.9)	(1,363.6)
						'- Non Current security Deposit	(47.5)	(38.3)	(151.5)	(307.3)	(288.7)
Profit before tax	(7,764.2)	(1,134.8)	2,776.1	4,269.8	7,167.9	Change in working capital	3,417.8	1,129.7	(8,347.8)	(1,883.5)	(1,685.0)
Exceptional and Extra Ordinary	-	-	-	-	-	CF from Oper. activities	6,371.6	9,791.1	4,543.3	13,938.7	16,425.0
share of profit/loss in JV	-	-	-	-	-						
PBT (Post Extra Ordinary)	(7,764.2)	(1,134.8)	2,776.1	4,269.8	7,167.9	CF from Inv. activities	(17,411.1)	(14,034.4)	(13,732.8)	(12,722.3)	(12,471.6)
Provision for tax	(1,268.0)	(327.7)	806.0	1,076.0	1,806.3						
Reported PAT	(6,496.2)	(807.1)	1,970.1	3,193.8	5,361.6	CF from Fin. activities	10,034.2	3,677.2	8,626.0	4,750.3	-
MI	-	-	-	-	-						
Adjusted PAT	(6,496.2)	(807.1)	1,970.1	3,193.8	5,361.6	Cash generated/(utilised)	(1,005.4)	(566.1)	(563.5)	5,966.7	3,953.4
						Cash at start of the year	2,650.7	1,645.4	1,079.2	515.7	6,482.5
						Cash at end of the year	1,645.4	1,079.2	515.7	6,482.5	10,435.9
Balance Sheet	FY21E	FY22	FY23E	FY23E	FY23E	Ratios	FY21	FY22	FY23E	FY24E	FY25E
Equity capital	9,150.5	9,382.9	9,485.1	10,143.1	10,143.1	OPM	11.5	13.8	14.1	14.6	14.5
Reserves	17,695.3	19,438.5	24,256.4	45,792.2	51,153.8	NPM	(12.4)	(1.0)	1.7	2.4	3.5
Net worth	26,845.8	28,821.4	33,741.5	55,935.3	61,296.9	Tax rate	16.3	28.9	29.0	25.2	25.2
Minority Interest	-	-	-	-	-						
Non Current Liabilities	29,642.0	31,202.7	36,983.3	30,645.5	31,216.0	Growth Ratios (%)					
						Net Sales	(40.7)	51.0	49.6	14.3	13.7
Current Liabilities	39,913.8	55,989.9	71,662.9	75,184.2	82,958.6	Operating Profit	(51.5)	81.6	52.7	18.2	13.3
						PBIT	(200.6)	(137.8)	319.7	23.1	36.0
CAPITAL EMPLOYED	96,401.6	116,014.0	142,387.7	161,765.0	175,471.6	PAT	351.4	(87.6)	(344.1)	62.1	67.9
Non Current Assets	60,904.1	65,844.5	75,517.2	80,381.7	80,823.7	Per Share (Rs.)					
						Net Earnings (EPS)	(7.1)	(0.9)	2.1	3.1	5.3
Fixed Assets	26,813.6	29,529.2	36,706.5	40,957.1	40,874.4	Cash Earnings (CPS)	3.2	9.2	13.6	15.6	17.9
Non Current Investments	6,895.3	8,351.2	9,893.7	9,893.7	9,893.7	Dividend	-	-	-	-	-
Non Current tax assets	215.5	203.8	203.8	203.8	203.8	Book Value	29.3	30.7	35.6	55.1	60.4
Long Term Loans and Advances	25.9	36.3	585.6	614.9	645.6	Free Cash Flow	(12.1)	(4.5)	(9.7)	1.2	3.9
Other NON Current Assets	2,108.1	2,521.3	2,773.4	3,050.8	3,256.0						
Goodwill	18,596.0	18,596.0	18,596.0	18,596.0	18,596.0						
Deferred Tax Assets	3,212.3	3,531.0	3,531.0	3,531.0	3,531.0						
Security Deposits	3,037.4	3,075.7	3,227.2	3,534.5	3,823.2						
Current Assets	35,497.5	50,169.5	66,870.5	81,383.3	94,647.9	Valuation Ratios					
Current investments	2,995.3	5,374.2	3,363.0	3,363.0	3,363.0	P/E(x)	(35.2)	(290.6)	120.4	79.4	47.3
Inventories	17,429.3	27,292.3	40,817.8	46,659.9	53,040.7	P/B(x)	8.5	8.1	7.0	4.5	4.1
Trade Receivables	5,999.0	7,544.0	11,282.6	12,897.5	14,661.2	EV/EBIDTA(x)	44.1	25.1	17.3	14.6	12.7
Cash and Bank Balances	1,645.4	1,079.2	515.7	6,482.5	10,435.9	Div . Yield(%)	-	-	-	-	-
Short Term Loans and Advances	64.9	68.4	75.2	82.8	91.0	FCF Yield(%)	(4.8)	(1.8)	(3.9)	0.5	1.6
Other Current Assets	7,363.6	8,811.4	10,816.0	11,897.6	13,056.0						
						Return Ratios (%)					
						ROE	-24%	-3%	6%	6%	9%
Capital Deployed	96,401.6	116,014.0	142,387.7	161,765.0	175,471.6	ROCE	-7%	6%	13%	13%	17%

Source: Dalal & Broacha Research, Company

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